

TRENDS IN SUBMINIMUM WAGE EMPLOYMENT FROM 2013 TO 2022, PART 2: NUMBER OF 14(C) WORKERS

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Part 1 of this series of data notes on subminimum wage described the number of employers who hold certificates under Section 14(c) of the Fair Labor Standards Act. Section 14(c) permits employers to pay certain employees with disabilities less than the minimum wage (also known as subminimum wage). This data note, part 2 in this series, will focus on the number of employees who work for subminimum wage and changes in that number over time and by state.

These data were compiled from the [list of 14\(c\) certificate holders](#) published by the U.S. Department of Labor, Wage and Hour Division.

Consistent with the drop in the number of 14(c) employers between 2013 and July 2022, the number of 14(c) workers declined from an estimated 210,689 workers in 2013 to only 59,537 workers in 2022¹. There are also fewer workers earning subminimum wage under each active certificate. The average number of 14(c) workers per 14(c) certificate holders fell from approximately 77 employees in 2013 to about 53 employees in July 2022.

There is also substantial state to state variation in the number of 14(c) workers (Table 1). As of July 2022, 10 states reported that they did not have any 14(c) workers, but nine other states reported that they each had over 2,000 14(c) workers. We can differentiate the level of a state's engagement in subminimum wage employment by looking at the number of 14(c) workers for every 1 million people in a state's total population. For example, among the states that reported any 14(c) workers, six had fewer than 50 workers for each 1 million people in their total population while seven other states had over 400 workers for every 1 million people in their total population.

¹ Because of the large number of certificates identified as pending in July 2022, we used the mean number of employees for issued certificates in each state to estimate the total number of workers in the state who were earning subminimum wage.

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Table 1. Number of 14(c) workers by state as of July 2022

	Total issued and pending Certificates	Mean 14(c) workers/ issued certificate	Estimated Total 14(c) workers**	14(c) workers/ 1 million population
AK	1	0	0	0
AL	5	34	168	34
AR	34	39	1,334	440
AZ	40	32	1,286	171
CA	62	100	6,224	157
CO	7	14	100	17
CT	23	40	920	259
DC	0	*	*	*
DE	0	*	*	*
FL	36	45	1,628	74
GA	13	19	253	23
HI	0	*	*	*
IA	13	42	546	172
ID	7	18	123	66
IL	93	60	5,563	443
IN	35	38	1,335	196
KS	25	27	675	231
KY	25	34	849	189
LA	17	20	340	73
MA	13	47	615	89
MD	0	*	*	*
ME	0	*	*	*
MI	23	78	1,801	180
MN	73	54	3,961	694
MO	92	42	3,908	633
MS	7	50	351	118
MT	14	11	158	146
NC	36	42	1,527	143
ND	13	29	371	482
NE	9	64	578	296
NH	0	*	*	*
NJ	34	65	2,211	249
NM	2	30	60	29
NV	6	33	198	62
NY	35	50	1,747	90
OH	62	59	3,675	314
OK	48	40	1,940	486
OR	2	14	27	6
PA	57	87	4,965	388
RI	0	*	*	*
SC	18	70	1,257	238
SD	8	11	87	97
TN	3	0	0	0
TX	43	60	2,572	87
UT	15	22	333	100
VA	12	31	374	43
VT	0	*	*	*
WA	7	31	217	28
WI	60	49	2,912	498
WV	5	28	138	78
WY	0	*	*	*
Total	1133	53	59,537	180

* No 14(c) certificates reported

** The number of workers for pending certificates was estimated using the state mean number of workers per certificate